

Pre-feasibility Study for the Establishment of Heritage Traditional Market in Karak



2017



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1. Executive summary

The idea of the project is to rent shops inside Karak Castle and exploit them by selling handicrafts and traditional products in order to find outlets to distribute these products. In addition to opening an old heritage Café inside the Castle, including Arabic seatings this offers drinks, Bubbly and snacks.

Based on the market share and prices that have been adopted by the proposed project, the expected revenues equal to 322,500 JD during the first year of the project lifetime and it will rise gradually to amount to 420,789 JD during the tenth year, where the pay back period is two years, and internal rate of return is equal to 36.61%, in addition to the provision of 14 jobs opportunities for the region's residents.

The following table shows the most important results of the study:

Table1 : study's results

Result	
Total Investment Requirement (JD)	141,305
Internal Rate of Return (IRR)	36.61%
Pay-Back Period (year)	2
Net present value (JD)	246,339
Job Opportunities provided by the project	14
Annual Revenue Projections (10 years)	3,697,101
Total Operating Expenses (10 years)	2,593,539
Net Profit (10 years)	356,191

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

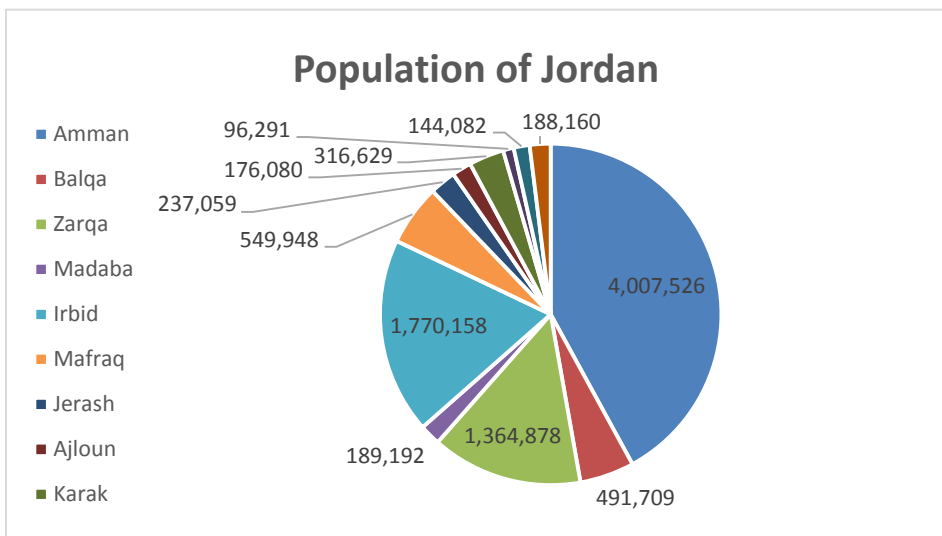
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1: Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 : Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

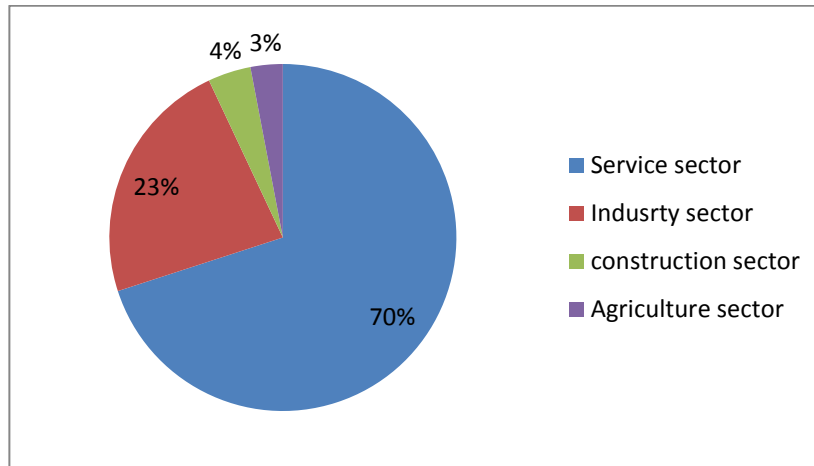
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2: Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and

medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance

of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in it endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of

capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market analysis

Project description

The heritage market contains a Café with an approximate area of (100) m² in the form of an Arab tent inside Karak castle, to be opened in spring and summer, an average of 8 month/ year, offering traditional

foods and various beverages. In addition to creating a Museum of folk life as a heritage exhibition with an area of 120 metres divided into 6 small shops inside the Castle, where the area for each shop is 20 m².

The heritage Museum aims to sell handicrafts such as souvenirs, sand bottles, flowers, perfumes, spice and herbs, sweets, traditional foods, traditional products, knitting workshop, handmade carpets, rugs, antiques, artefacts, traditional saddles, embroideries, dry figs and other fruits, tabun oven, manufacture and sale of fishing tools, grain stores, shops to sell everything that is traditional and heritage.

Project objectives

- The project objectives are as follows:
- Raise the level of tourism in Karak governorate.
- Attracting more tourists.
- Providing job opportunities.
- Achieve financial return for the project owners.

Proposed service

The idea of the project is to establish a complex and rent shops for the sale of handicrafts and traditional products in order to find outlets for the distribution of these products by renting different areas in one place with a heritage style, which is attractive to visitors. The implementation of this project will help to activate tourism in the region and attract visitors to this place where as it is considered an old region with an old history where there is a lot of crafts and sculptures. This project is required by foreign tourists who prefer establishing a heritage village or heritage complex that consist of a Museum, restaurant and Café, where it supports the heritage and culture of the area, and achieve a good return.

Target segments

The project targets Karak tourists especially the Castle foreigners and Jordanians visitors, and the governorate residents.

Market size analysis

The population of Karak governorate is 316,629 inhabitants as stated in the last study by the Department of statistics, in the year 2015, the number of foreign tourists to the castle was 12,633 tourists in addition to

3, 900 Jordanian visitors from different provinces. The table below shows the number of visitors to Kerak in 2014-2015.

Table 3: number of visitors in 2014-2015.

Location	2014			2015		
	foreigner	Jordanian	Total	foregner	Jordanian	Total
Karak castle	29,300	4,950	34,250	12,633	3,900	16,533

Source: Ministry of tourism and Antiquities

Competitors analysis

Competition is in general with the tourism projects in Karak, the direct competition is between shop, Oriental museums and tourist cafes in Karak. The following table represents the number of service facilities conducted in Karak by 2014:

Table 4: Number of establishments of tourist services in Karak

Services	Hotels	Offices	Resturants	Eastern Antiques	Total
Number of facilities	7	6	5	8	26
Man power	18	30	62	46	156

Source: Ministry of tourism and antiquities, 2014

In addition to having a similar ongoing project in Petra: a heritage village called (Ellje) village with an area of 2400 square meters.

Capacity of the project

Depending on the market size in the area and number of visitors to the Castle, it was assumed that the rate of visitors to the heritage market will amount to 9,500 visitors/year and 12,000 visitors /year to the heritage Café.

Price analysis and pricing policy

It was assumed that the average Bill per person at the coffee shop is 15 JOD, where it offers different beverages and bubbly, and desserts, in addition to light snacks.

Heritage market is also expected to have an average Bill about 15 JD per person.

Expected revenues

234859	228019	221377	214929	208669	202592	196691	190962	185400	180000	ايراد مطعم
185930	180515	175257	170152	165197	160385	155714	151178	146775	142500	ايراد سوق تراثي

Expected annual revenues for the project:

It is expected that the number of visitors to the Café is 50 persons/ day in the first year, where the expected number of customers to the heritage market is 35 persons a day.

Café revenues= 50 visitor/day x 15 JD x 240 working days per year = 180,000 JD annually

Heritage market revenue (6 shops): 9,500 visitors/year x 15 JD = JD 142,500 annually.

Prices assumption	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Resturant revenues	180000	185400	190962	196691	202592	208669	214929	221377	228019	234859
Heritage market revenues	142500	146775	151178	155714	160385	165197	170152	175257	180515	185930

4. Technical analysis

Required Human resources

The table below shows the required human resources for the project:

Table 5: Required human resources

Job title	Number
Heritage market manager	1
Café Manager	1
number of indirect employees	2
Heritage market officer	6
Waiter	4
Cooker	1
Cashier	1
Number of direct employees	12
Total	14

Job Description:

Heritage market Manager: sets up strategic marketing plans for the project, provides the required resources to implement the plans, such as; human resources, marketing and advertising materials to carry out work as required, in addition to establishing marketing policies, including pricing, deals, promotions, recruitments and training to reflect the competitive advantage of the project.

Cafeteria manager: performs supervision and guidance on all the operations of the Café, which includes overseeing all employees, ensuring the Café quality and regulatory requirements and food services, and ensure securing comfort for visitors and tourists.

Site analysis

Karak feature the beauty of its mountains and nature, preserving archaeological sites which makes it attractive to, in addition to the moderate climate. Therefore Karak is a strategic area for the establishment of the project. Where the proposed project would be located inside the Castle, and it is expected that number of tourists will be much higher if the project was inside the Castle.

Technical requirements analysis

Land and construction works

There will be six rented shop with a space area of 120 m², in addition to rent a land in the Castle yard with an area of 100 m².

As for the construction work, the decorss and decorative forms that reflect the heritage culture of the region has been dedicated to the the project, and the following table represents the required space allotted for the decors of the project.

Table 6: Required Construction Work

Construction work	Area m2
Heritage decoration	200

Machinery and equipment

The table below shows the required Machinery and equipment for the project:

Table 7: Required Machinery and Equipment

Machinery and equipment	Quantity
Fire fighting equipment	2
Cashier computers	1
Cafe equipment	1

Furniture Requirements

The table below shows the required Furniture and furnishings:

Table 8: Furniture requirements

Furniture and furnishings	Quantity
Kitchen	1
Arabic tent	1

Vehicles requirements

The table below shows the required Vehicles and transportation for the project

Table 9: Required Vehicles

Vehicles and transportation	Quantity
Pick-up	1

5. Financial analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 12.05% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.

- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 10: General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 11: Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 12: Working time

Working time	
Number of weeks/year	52
Number of working days/ week	7
Number of days of the year	240
Number of working hours/ day	8

Table 13: Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 14: Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	%35
Utilities Expenses from Total Revenues	%2.5
Maintenance Expenses from Total Revenues	%1
Depreciation Expenses from Total Revenues	%1

Expenses Assumptions	
Insurance Expenses from Total Assets Value	%0.75
Marketing Expenses from Total Revenues	%0.5

Table 15: Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	%20
(2) Income Tax Deduction	%80
Income Tax after Deduction	5%
(3) Compulsary Reserve Percentage	10%
Other Assumptions	Value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	14

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	5.00%
(4) Beta	1
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table16 : Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%10.12
Income Tax Rate	%5
Bets	1.00
Equity	56,522
Loans Value	84,783
Loans	

Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%9.01
Loans Value	84,783
Loans Percentage	60%
Equity	
Cost of Equity	%16.4
Equity Value	330,473
Equity Percentage	%40
Gross	
Project Value	141,305
Weighted Average Cost of Capital	%12.05

Capital Expenditures

The estimated cost of the project is 141,305 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

The project consists of six rental shops 120 m² plus a rented land in the yard of the Castle with an area equals to 100 m²

Table 17: Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)
Required Land	5,000	2,00
Cost		

Table 18: Construction Work Capital Expenditure

Description	Cost (JOD per Squared	Area	Gross
Heritage decor	50	200	10,000

The following table shows the required Machinery for the project:

جدول 1 المصاريف الرأسمالية من الآلات والمعدات

Table 19: Machinery and equipment Capital Expenditure

Machinery and equipment	No.	Price/unit	Total price
Fire fighting equipment	2	500	1,000
Cashier's computer	1	700	700
Cafe equipment	1	3,000	3,000
Total (JD)			4,700

Table 20: Furniture Capital Expenditure

Furniture	No.	Price/unit	Total price
Kitchen	1	5,000	5,000
Arabic tent	1	2,000	2,000
Furniture			6,000
Total			13,000

Table 21: Transporation and Vehicles Capex

Transporation and Vehicles	No	Unit Cost/JOD	Total Cost/JOD
Pick up	1	23,400	23,400
Total			23,400

Table 22: Pre Operating Expenses

Pre-operating expenses	Estimaited cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	3,000
Training	2,500
Total	8,500

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 23: Working Capital

Working Capital	No. of	%	Estimated Cost
Operating expenses	3	%25	55,492
General and administrative expenses	3	%25	2,165
Marketing expenses	3	%25	403
Indirect Salaries	3	%25	10,800
Total			68,859

Table 24: Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	0	10%	0	%0.0
Construction work	10,000	10%	11,000	%7.8
Machinery & Equipment	4,700	10%	5,170	%3.7
Furniture	13,000	10%	14,300	%10.1
Vehicles	23,400	10%	25,740	%18.2
Pre-Operating Expenses	8,500	10%	9,350	%6.6
Working capital	68,859	10%	75,745	%53.6
Total	128,459		141,305	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (141,305) JD, where 60% of the project will be financed through loans (84,783) JD, and the remaining (40%) through (Equity) with (56,522) JD. The following table summarizes the general structure of the required financing:

Table 25: Sources of Funding

مصادر التمويل	Value	Ratio
Equity (Self Financing)	56,522	%40
Loans	84,783	%60
Total	141,305	%100
Use of Fund:	Value	Ratio

Capital Expenditures	56,210	%39.78
Pre-Operating Expenses	9,350	%6.62
Working Capital	75,745	%53.60
Total	141,305	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 26: Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from Revenues	112,875	116,261	119,749	123,342	127,042	130,853	134,779	138,822	142,987	147,276
Utilities from Revenues	8,063	8,304	8,554	8,810	9,074	9,347	9,627	9,916	10,213	10,520
Maintenance from Revenues	3,225	3,322	3,421	3,524	3,630	3,739	3,851	3,966	4,085	4,208
Disposables from Revenues	3,225	3,322	3,421	3,524	3,630	3,739	3,851	3,966	4,085	4,208
Direct Salaries	74,400	77,450	80,626	83,932	87,373	90,955	94,684	98,566	102,607	106,814
Others	20,179	20,866	21,577	22,313	23,075	23,863	24,679	25,524	26,398	27,303
Total	221,966	229,525	237,348	245,444	253,823	262,495	271,471	280,760	290,376	300,329

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 27: General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Communication expenses	750	773	796	820	844	869	896	922	950	979
Hospitality expenses	200	206	212	219	225	232	239	246	253	261
Stationery and publications	250	258	265	273	281	290	299	307	317	326
Transportations	750	773	796	820	844	869	896	922	950	979
Rental expenses	5,000	5,150	5,305	5,464	5,628	5,796	5,970	6,149	6,334	6,524
Training expenses	500	515	530	546	563	580	597	615	633	652
Insurance expenses	422	434	447	461	474	489	503	518	534	550
Other expenses	787	811	835	860	886	913	940	968	997	1,027
Total	8,659	8,918	9,186	9,462	9,745	10,038	10,339	10,649	10,969	11,298

Marketing Expenses

Table 28: Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	1,613	1,661	1,711	1,762	1,815	1,869	1,925	1,983	2,043	2,104
Total	1,613	1,661	1,711	1,762	1,815	1,869	1,925	1,983	2,043	2,104

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 29: Number of employees and their proposed salaries

Job Title	No.	Monthly salary	Total monthly salaries	Total annual salaries
Indirect employees				
Heritage market manager	1	1,500	1,500	24,000
Cafe Manager	1	1,200	1,200	19,200
Total indirect employees	2		2,700	43,200

Job Title	No.	Monthly salary	Total monthly salaries	Total annual salaries
Direct employyes				
Heritage market officer	6	400	2,400	38,400
Waiter	4	300	1,200	19,200
Cook	1	700	700	11,200
Casheir	1	350	350	5,600
Total direct employees	12		4,650	74,400
Total	14		7,350	74,400

Depreciations

The following tables illustrate cost of Capex and Depreciaition rates:

Table 30: Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	0	%0.0	%0.0
Construction Works	11,000	%5.0	%0.0
Machinaries	5,170	%10.0	%2.0
Furniture	14,300	%10.0	%5.0
Vehicles	25,740	%10.0	%0.0
Capex Cost and Annual Depreciation Rates	56,210		

Table 31: Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	56,210	57,028	57,885	58,780	59,718	60,699	61,726	62,800	63,925	65,103
Total Depreciation Expenses	5,071	5,153	5,238	5,328	5,422	5,520	5,623	5,730	5,843	5,960
Total Accumulated Depreciation	5,071	10,224	15,462	20,790	26,212	31,732	37,355	43,085	48,927	54,887
Total Additions	0	818	856	896	937	981	1,027	1,075	1,125	1,178
Total Net Book Values	51,139	46,805	42,422	37,990	33,506	28,967	24,371	19,716	14,998	10,215

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 32: Loan Details

Loan Value	84,783
Annual Interest Rate	9.48%
Loans Period	5
Grace Period	2018
Loan Starts at year:	22,069
Annual Payment	5

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				84,783
2019	22,069	8,037	14,032	70,751
2020	22,069	6,707	15,362	55,389
2021	22,069	5,251	16,818	38,571
2022	22,069	3,657	18,413	20,158
2023	22,069	1,911	20,158	0

Income Statement

Table 33: Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	322,500	332,175	342,140	352,404	362,977	373,866	385,082	396,634	408,533	420,789
Gross Operating Revenues	322,500	332,175	342,140	352,404	362,977	373,866	385,082	396,634	408,533	420,789
Operating Expenses	221,966)	229,525)	237,348)	245,444)	253,823)	262,495)	271,471)	280,760)	290,376)	300,329)
Gross Operating Profit	100,534	102,650	104,792	106,960	109,153	111,371	113,611	115,874	118,157	120,461

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
<i>Gross Profit Percentage</i>	%31	%31	%31	%30	%30	%30	%30	%29	%29	%29
Salaries and Benefits (Indirect Staff)	(43,200)	(44,971)	(46,815)	(48,734)	(50,733)	(52,813)	(54,978)	(57,232)	(59,579)	(62,021)
General and Administraive Expenses	(8,659)	(8,918)	(9,186)	(9,462)	(9,745)	(10,038)	(10,339)	(10,649)	(10,969)	(11,298)
Markeing Expenses	(1,613)	(1,661)	(1,711)	(1,762)	(1,815)	(1,869)	(1,925)	(1,983)	(2,043)	(2,104)
Pre Operating Expenses	(9,350)									
Gross Indirect Expenses	(62,821)	(55,551)	(57,712)	(59,958)	(62,293)	(64,720)	(67,242)	(69,864)	(72,590)	(75,423)
Income before Interest, Depreciation and	37,713	47,099	47,080	47,002	46,860	46,651	46,369	46,010	45,568	45,038
Fixed Assets Depreciations	(5,071)	(5,153)	(5,238)	(5,328)	(5,422)	(5,520)	(5,623)	(5,730)	(5,843)	(5,960)
Income before Tax and Interests	32,642	41,946	41,842	41,674	41,439	41,131	40,746	40,280	39,725	39,078
Bank Interests	(8,037)	(6,707)	(5,251)	(3,657)	(1,911)	0	0	0	0	0
Income Before Tax	24,604	35,239	36,591	38,017	39,528	41,131	40,746	40,280	39,725	39,078
Income Tax	(1,230)	(1,762)	(1,830)	(1,901)	(1,976)	(2,057)	(2,037)	(2,014)	(1,986)	(1,954)
Net Profit	23,374	33,477	34,761	36,117	37,551	39,074	38,709	38,266	37,739	37,124
<i>Net Profit Percentage</i>	%7	%10	%10	%10	%10	%10	%10	%10	%9	%9
Compulsory Reserves	(2,337)	(3,348)	(3,476)	(3,612)	(3,755)	(3,907)	(3,871)	(3,827)	(3,774)	(3,712)
Retained Earnings	21,036	51,166	82,451	114,956	148,752	183,919	218,757	253,196	287,161	320,572

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 34: Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	23,374	33,477	34,761	36,117	37,551	39,074	38,709	38,266	37,739	37,124
Bank Interests	8,037	6,707	5,251	3,657	1,911	0	0	0	0	0
Depreciation	5,071	5,153	5,238	5,328	5,422	5,520	5,623	5,730	5,843	5,960
Total Operating Cashflows before	36,482	45,337	45,251	45,101	44,884	44,594	44,332	43,996	43,581	43,084
Inventory (Increase/Decrease)	(9,406)	(282)	(291)	(299)	(308)	(318)	(327)	(337)	(347)	(357)
Accounts Receivables (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Payables (Increase/Decrease)	18,182	695	723	751	780	810	842	874	908	944
Working Capital (Increase/Decrease)	8,776	413	432	451	471	493	515	537	561	586
Net Cashflows from Operating Activities	45,258	45,750	45,682	45,552	45,355	45,087	44,846	44,533	44,143	43,670
Cashflows from Investments Activities										
Fixed Assets (Procurement)	(56,210)	(818)	(856)	(896)	(937)	(981)	(1,027)	(1,075)	(1,125)	(1,178)
Net Cashflows from Investments Activities	(56,210)	(818)	(856)	(896)	(937)	(981)	(1,027)	(1,075)	(1,125)	(1,178)
Cashflows from Financing Activities										
Capital	56,522									
Loan Amortization	(14,032)	(15,362)	(16,818)	(18,413)	(20,158)	0	0	0	0	0

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Bank Interest Rate	(8,037)	(6,707)	(5,251)	(3,657)	(1,911)	0	0	0	0	0
Loans	84,783	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	119,236	(22,069)	(22,069)	(22,069)	(22,069)	0	0	0	0	0
Net (Increase/Decrease) in Cash	108,284	22,863	22,757	22,587	22,349	44,106	43,819	43,458	43,018	42,493
Cashflows at the Beginning of Period	0	108,284	131,147	153,904	176,491	198,839	242,945	286,765	330,223	373,241
Cashflows at the End of Period	108,284	131,147	153,904	176,491	198,839	242,945	286,765	330,223	373,241	415,734

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 35: Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	108,284	131,147	153,904	176,491	198,839	242,945	286,765	330,223	373,241	415,734
Inventory	9,406	9,688	9,979	10,278	10,587	10,904	11,232	11,569	11,916	12,273
Accounts Receivable	0	0	0	0	0	0	0	0	0	0
Total current Assets	117,690	140,835	163,883	186,769	209,426	253,850	297,996	341,792	385,157	428,007

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Non Current Assets										
Fixed Assets (net)	51,139	46,805	42,422	37,990	33,506	28,967	24,371	19,716	14,998	10,215
Total Non Current Assets	51,139	46,805	42,422	37,990	33,506	28,967	24,371	19,716	14,998	10,215
Total Assets	168,829	187,640	206,305	224,759	242,932	282,817	322,367	361,507	400,155	438,222
Liabilities	-	-	-	-	-					
Current Liabilities										
Paybles	18,182	18,877	19,600	20,350	21,130	21,940	22,782	23,656	24,565	25,509
Remaining amount of Loan	15,362	16,818	18,413	20,158	0	0	0	0	0	0
Total current Liabilities	33,544	35,696	38,013	40,509	21,130	21,940	22,782	23,656	24,565	25,509
Non Current Liabilities										
Long Terms Loans	55,389	38,571	20,158	0	0	0	0	0	0	0
Total Long Term Liabilities	55,389	38,571	20,158	0	0	0	0	0	0	0
Total Liabilities	88,933	74,267	58,171	40,509	21,130	21,940	22,782	23,656	24,565	25,509
Owners Equity										
Shareholders Contributions	56,522	56,522	56,522	56,522	56,522	56,522	56,522	56,522	56,522	56,522
Statutory Reseve	0	3,348	6,824	10,435	14,191	18,098	21,969	25,795	29,569	33,282
Retained Profits	21,036	51,166	82,451	114,956	148,752	183,919	218,757	253,196	287,161	320,572
Total Equity	77,559	111,036	145,797	181,913	219,464	258,539	297,248	335,514	373,252	410,376
Total Liabilities and Equity	166,492	185,302	203,968	222,422	240,595	280,479	320,030	359,170	397,817	435,885

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 36: Free Net Cash flows

Net Cashflows	Befor operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Total
Net Free Cashflows	(141,305)	54,60	44,93	44,82	44,65	44,41	44,10	43,81	43,45	43,01	42,49	548,866
Discount Factor	1.00	0.80	0.71	0.63	0.57	0.51	0.45	0.40	0.36	0.32	0.29	0.29
Net Present Value for	(141,305)	43,49	31,93	28,43	25,28	22,44	19,88	17,63	15,60	13,78	12,15	156,988

Table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 37: Payback Period

Payback Period	Before operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(141,305)	54,608	44,932	44,826	44,656	44,418	44,106	43,819	43,458	43,018	42,493
Project Value Returned	141,305	86,697	41,765	(3,061)	(47,717)	(92,135)	(136,241)	(180,060)	(223,519)	(266,537)	(309,030)
Payback Period (Year)	2	1	1	0	0	0	0	0	0	0	0

Table 38: Financial Analysis Results

	Value
Weighted Average Cost of Capital (WACC)	%12.05
Net Present Value for Cashflows	246,339
Payback Period	2
Internal Rate of Return	%36.61

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 39: Sensitivity Analysis

Sensitivity Analysis	Sensitivity Analysis	Internal Rate of Return	Payback Period
Original Scenario	36.61%	2	12.05%
Revenues declined by 10%	22.13%	4	12.05%
Operating Expenses Increased by 10%	16.35%	6	12.05%

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Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 246,339 Jordan Dinars considering that the project provides 14 Job Opportunities for the governorate residents.